

Apple Inc. (AAPL)

Equity Research Report | Job Thomas

Report Date: 7th August 2026

Recommendation: HOLD

Current Share Price: \$313.33 (At close: 7 August at 16:00:01 GMT-4)

Implied Upside (+1.3%)

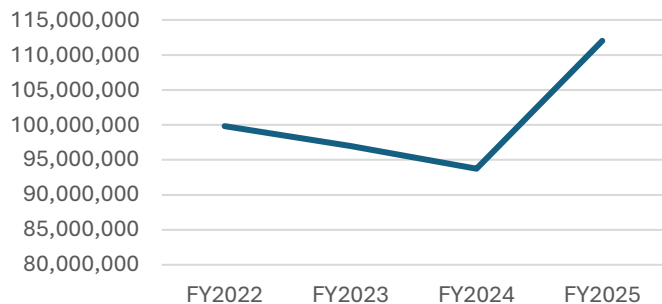
Investment Thesis:

Apple is one of the world's biggest and highest-quality technology companies, with a globally recognised brand, strong profitability and consistent cash generation. However, relative valuation using EV/EBITDA and P/E outlines shares are trading close to peer valuations, highlighting 1.3% upside. Therefore, this report assigns a HOLD recommendation and underlines Q4 earnings and expansion of Apple Intelligence as catalysts for further growth.

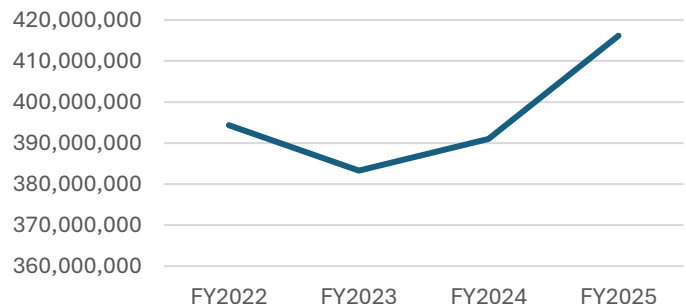
Historical Financial Performance:

Metrics	FY2023	FY2024	FY2025
Revenue	383,285,000	391,035,000	416,161,000
EBITDA	125,820,000	134,661,000	144,748,000
Net Income	96,995,000	93,736,000	112,010,000

Net income (FY2022 - 2025)



Revenue (FY2022 - FY2025)



Relative Valuation:

Metrics (FY2025)	Apple	Microsoft	Alphabet
Revenue	416,161,000	281,724,000	402,836,000
Market Cap	4,000,000,000	3,590,000,000	3,790,000,000
Total Debt	98,657,000	60,588,000	59,291,000
Cash & Equivalents	35,934,000	30,242,000	30,708,000
Latest EBITDA	144,748,000	155,445,000	180,698,000
Latest Net Income	112,010,000	101,832,000	132,170,000
Enterprise Value	4,062,723,000	3,620,346,000	3,818,583,000
EV/EBITDA	28.07	23.29	21.13
P/E	35.71	35.25	28.68

Metrics (FY2025)	Apple
Peer Median of P/E	35.25
Implied Value	309.32
Implied Upside	1.30%

Catalyst Timeline:

Catalyst: Q4 earnings.

Potential Impact: Strong earnings release could strengthen business confidence, which affects Apple's financial condition, valuation and stock price.

Catalyst: Expansion of Apple Intelligence across devices.

Potential Impact: Increased iPhone upgrade cycle and higher services engagement, which supports future revenue growth and reinforces Apple's valuation.

Investment Risks:

Future operating results depend on the ability to obtain components and computing resources in sufficient quantities and on commercially reasonable terms. For example, advanced semiconductors, storage (NAND) and memory (DRAM) are at times subject to industry-wide shortages and significant commodity pricing fluctuations. Demand for cloud computing and artificial intelligence infrastructure has increased substantially across the industry, resulting in constrained supply, extended lead times and increasing costs. In addition to its own data center infrastructure, a reliance on third-party cloud service providers to meet computational needs could lead to an inability to meet customer demand.

Apple is currently subject to antitrust investigations and litigation in various jurisdictions around the world, which can result in legal proceedings and claims that could have an impact on the business, its financial condition and stock price. For example, Apple is subject to civil antitrust lawsuits in the U.S. alleging monopolisation in the markets for “performance smartphones” and “smartphones” generally in violation of U.S. antitrust laws.

Conclusion:

Ultimately, although Apple is one of the world's biggest and highest-quality technology companies, with a globally recognised brand, strong profitability and consistent cash generation the current valuation suggests limited near-term relative companies in the industry.

Methodology:

Financial data sourced from Yahoo Finance.

Historical financial statements analysed over FY2023–FY2025.

Relative valuation performed using EV/EBITDA and P/E multiples.

Apple benchmarked against Microsoft and Alphabet.

Sources:

Apple Quarterly Earnings Report (Q3 10-Q) and Yahoo Finance